The five C's for a broadening

Global Equity Strategy

Equity Strategy
Global

- We remain constructive on global equities but expect a broadening in performance driven by the five C's
- Corporate earnings, Central banks, Capex, Consumer and Capital flows
- Middle East tensions and higher energy prices are downside risks, but for now offset by improving fundamentals elsewhere

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We remain bullish on global equity markets, but are increasingly positioning for a rotation in performance. Early signs of that shift are already emerging. Our global long-versus-short momentum factor has fallen 15% over the past 3 weeks, but we believe the reversal likely has further to run. The rally in momentum stocks year-to-date has been one of the strongest on record. Historical precedent suggests that, after a 20% rise in the momentum factor, the subsequent reversal typically persists for around six months. The current episode is particularly unusual: after initially rising 20%, momentum subsequently squeezed another 25% higher. In our view, that leaves the factor increasingly vulnerable to a sharper and more sustained reversal.

Other signs of a potential rotation are also becoming more evident. Concentration across global equity indices – particularly in the US and EM – remains close to record highs. Yet, for all the focus on AI and technology outperformance, the rest of the market has, broadly speaking, also performed well. Equal-weighted indices in the US, EM, and Europe are up 12%, 5%, and 10%, respectively, year-to-date. Renewed tensions in the Middle East and a large spike in energy prices are downside risks, but for now we believe the improving fundamental backdrop elsewhere should more than offset this.

We believe a further rally and sustained broadening in global equity-market performance can be supported by the five Cs:

Corporate earnings: US earnings growth looks strong and broadening beyond tech/energy with revision improving. EM and Europe EPS are also accelerating.

Central banks: Markets are pricing 37bps of hike by mid-2027; further hawkish repricing may be limited, which should support cyclicals.

Capex: Broadening depends on steady AI capex: cuts look unlikely as monetisation emerges, but big hyperscaler upgrades are limited, moderating semiconductor outperformance after strong gains.

Consumer: Despite a slowdown in real-time spending data, outlook remains constructive amid strong labor data, World Cup boost and wealth effects. Cons. discretionary valuations are cheap, and earnings expectations look too pessimistic.

Capital flows: Despite record US IPO and secondary issuance, equity demand looks strong: buybacks remain large, retail ETF inflows are accelerating, global inflows are rising, Europe funds are rotating into cyclicals, and EM ex-tech is seeing inflows.

The five C's for a broadening

We believe a further rally and sustained broadening in global equity-market performance can be supported by the five Cs:

Corporate earnings: Earnings season is upon us, and we think the setup once again looks favorable for the US. Consensus expects the S&P 500 to deliver earnings growth of nearly 23% y-o-y, but the bulk of this – 85% – is expected to come from tech and energy, where earnings are forecast to grow 62% and 124% y-o-y, respectively[1]. Yet, for all the focus on tech and its outsized contribution to overall US earnings growth, we think the market is underestimating the potential breadth of the expansion. The consensus expects the median US stock to see EPS growth slow from 15% y-o-y in Q1 to 9% y-o-y in Q2. Areas such as consumer discretionary and industrials are expected by consensus to experience a sharp deceleration, but we believe consensus is underestimating the resilience of corporate earnings despite the spike in energy costs amid the Middle East conflict. Corporate guidance trends also point to a broadening in earnings momentum. The ratio of companies raising guidance relative to those lowering it has reached the top-seventh percentile, as management teams become more positive. The US earnings revisions ratio has risen to 73%, its highest level since 2021 and in the top-fifth percentile since 2000 – indicative of early-cycle market dynamics. Nor is the potential broadening confined to the US. In emerging markets, consensus expects EPS growth to accelerate to 35% in Q2, predominantly driven by semiconductors. However, even excluding Taiwan and Korea, EM earnings are expected to grow close to 10.5% y-o-y, their fastest pace since Q2-22. Meanwhile, European earnings could grow 15% y-o-y in Q2, their strongest rate since 2022.

Central banks: Market pricing for the Fed has shifted dramatically in recent months. As recently as March, the options market was pricing a 70% probability that the Fed would leave rates unchanged by the April 2027 meeting and a 25% probability of 25bp of rate cuts. Fast-forward to today, and the market is assigning roughly a 35% probability to both a 25bp and a 50bp rate hike. In our view, this creates a relatively high bar for further hawkish repricing. It was a surprise that, at the June FOMC meeting – the first under new Fed Chair Kevin Warsh – the committee actively discussed the potential need for rate hikes later this year. However, HSBC economists expect the FOMC to keep the federal funds target range unchanged throughout 2026 and 2027[2]. Core inflation has accelerated, but there is a notable divergence between core PCE, at 3.4% y-o-y, and Warsh's preferred Dallas Fed trimmed-mean PCE measure, which stands much closer to the Fed's 2% target at 2.4% y-o-y. The recent soft inflation data with headline CPI fell 0.4% m/m (consensus -0.1%) should also push back against the hawkish narrative[3]. We think a shift toward pricing fewer Fed rate hikes, alongside a "no landing" scenario, would support a stronger rotation into cyclical sectors and small caps. Indeed, the sweet spot for equity markets historically has been a gradual unwinding of rate expectations: during episodes in which the 12m Fed futures have fallen 0-25bps over a 3m period, equities have rallied over 4% on average.

Capex: The sweet spot for a broadening trade is neither cuts to AI capex nor another round of material increases in spending expectations. In our view, concerns about capex cuts are overdone, at least for now, as early signs of monetization are clearly emerging. Anthropic is currently operating at a revenue run rate of USD47bn. Despite concerns about falling token costs, the more important data point may come from Ramp AI, which shows that monthly AI spending per employee continues to rise from a low base. Median spending is just USD10.66, up 2.5x y-o-y, versus the top-10th percentile which is currently spending USD516 per employee

1 *US Equity Strategy Watch: 2Q26 Preview – The bar is high, but we're not worried*, Nicole Inui, 9 July 2026
2 *FOMC minutes: Judgement required*, Ryan Wang, 8 July 2026
3 *US CPI (Jun): Core relief*, Ryan Wang, 14 July 2026

per month. At the same time, material upgrades to hyperscaler capex estimates from current levels appear unlikely. The powerful earnings upgrades across semiconductors and memory have been driven directly by rising US hyperscaler capex. Consensus estimates for 2026 and 2027 have been raised by USD200bn and USD300bn, respectively, year-to-date, with around 70% of that capex directed toward GPUs and servers. This has effectively redirected free cash flow from US hyperscalers – where FCF is expected to fall from USD220bn in Q1-25 to -USD2bn by Q4-26e – to NVIDIA and Micron, where FCF is expected to rise from USD74bn to USD280bn during the same period. However, the scope for capex upgrades of a similar magnitude over the next 12-18 months is limited, in our view, which should moderate the speed of semiconductor outperformance.

Consumer: The consumer is another important source of support for a broadening trade, particularly in the US. Overall, we believe US consumer data remain healthy. Although real-time spending data from Bloomberg Second Measure has slowed in recent weeks – largely because of lower spending on gasoline – we are beginning to see signs of stabilization. Several other factors remain supportive: (1) Employment data remain resilient, with initial jobless claims at multi-year lows; (2) Consumer confidence, as measured by Morning Consult, is recovering sharply, particularly among higher-income households; (3) The FIFA World Cup should provide an additional, albeit temporary, boost as OpenTable data already show y-o-y growth in US seated diners at multi-year highs; and (4) Higher equity markets and the AI boom are generating a pronounced wealth effect, with more than 50% of US household wealth held in equities. Overall, we believe the market remains too cautious on the consumer discretionary sector. Excluding Amazon and Tesla, the sector trades at a 12-month forward PE of just 16.6x, placing it in the bottom-tenth percentile since 2015. Meanwhile, the median consumer stock is expected to see earnings growth slow from 15.5% y-o-y in Q1 to 4.5% in Q2, which we believe is overly pessimistic.

Capital flows: Sustained equity demand is also essential to support a rotation and broadening in market performance. There has been considerable debate over whether the record volume of US IPOs expected this year – driven by the mega-cap technology listings of OpenAI, Anthropic, and SpaceX – could mark a market peak or create excess supply. We estimate that total US IPO issuance, including the mega-caps, could exceed USD270bn this year, alongside an additional USD470bn of secondary issuance. This would make 2026 the heaviest year of issuance on record for the US equity market. Even so, we see sufficient demand to absorb the supply. First, buybacks remain substantial. Announced buybacks already total USD850bn this year, almost USD100bn more than at the same point in 2025. Our estimates suggest that net US buybacks – buybacks less primary and secondary issuance – could still reach USD700bn in 2026, broadly in line with 2025. Retail demand for equities also appears relentless. US ETFs have attracted around USD550bn year-to-date, equivalent to a monthly pace of nearly USD85bn, compared with roughly USD62bn in 2025. Outside the US, there are further signs that equity demand is broadening. Amid an easing in global energy prices, weekly global equity fund inflows have risen to their highest level since March 2021. In Europe, funds are increasing their exposure to cyclicals relative to defensives from low levels – a shift consistent with broader risk-on positioning among buy-side investors and an improving sell-side outlook for cyclical sectors. Meanwhile, although foreign outflows from EM equities have reached a record USD90bn so far this year, they have been entirely driven by EM's tech trident: TSMC, Samsung Electronics, and SK Hynix. Excluding those three stocks, EM equities have attracted close to USD20bn of foreign inflows year-to-date[4].

4 *GEMs Equity Quarterly: Rotation without retreat*, Alastair Pinder, 15 July 2026

Our preferences from a broadening story

Globally, our preferred areas that should benefit from a broadening include: in the US we like the consumer discretionary sector, as well as the banks which have had a strong start to the earnings season supported by good loan growth, generally favorable NII dynamics, robust IB fees and sales & trading, continued efficiency progress, and benign credit. In Europe, we believe that some of the beaten up cyclical areas could also recover – this includes airlines and hotels (which should be buoyed by lower energy prices and recovering tourism), luxury names (strong US consumer, stabilization in mainland China and sharp acceleration in spending in pockets of Asia like Korea), and also the defense sector. We continue to like the banks that have seen renewed price momentum in recent weeks and where the forward dividend yield is the highest across all sectors[5]. A higher rate backdrop and/or steeper curves could continue to support the sector. Within EM, we anchor our views on three conviction themes[6]: (1) cyclical recovery plays that are resilient to higher food price pressures: South Africa, Chile, and parts of CEE; (2) AI spillovers and innovation winners: Korea consumer names, which should benefit from higher compensation from the semi names, and also mainland China's tech hardware stack, which benefits from faster technology self-reliance and provides diversification from the reliance on US hyperscaler capex; and (3) Deep-value plays: such as Brazil and Türkiye, which have underperformed by more than fundamentals warrant and/or where valuations look excessively cheap.

HSBC global equity strategy regional and sector allocation

Global regional allocation

HSBC view	Region	Benchmark weight
Overweight	US	62%
Overweight	Emerging Markets	10%
Neutral	Europe (ex UK)	11%
Neutral	Developed Asia ex JP	5%
Neutral	UK	3%
Neutral	Canada	3%
Underweight	Japan	6%

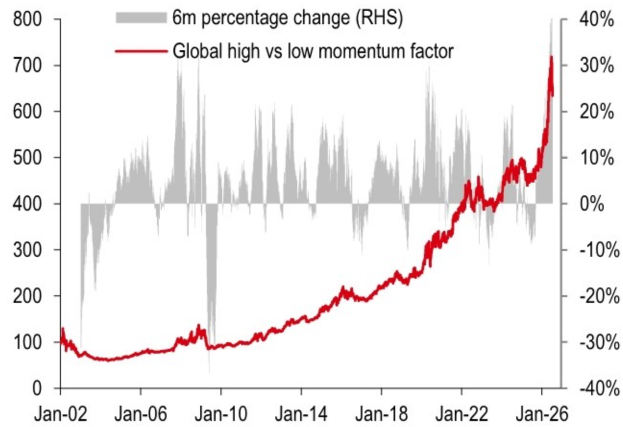
Global sector allocation

HSBC view	Sector	Benchmark weight
Overweight	Technology	34%
Overweight	Financials	16%
Overweight	Basic Materials	3%
Neutral	Industrials	12%
Neutral	Consumer Discretionary	11%
Neutral	Healthcare	8%
Neutral	Energy	4%
Neutral	Real Estate	2%
Underweight	Consumer Staples	4%
Underweight	Telecoms	3%
Underweight	Utilities	3%

Source: FactSet, HSBC

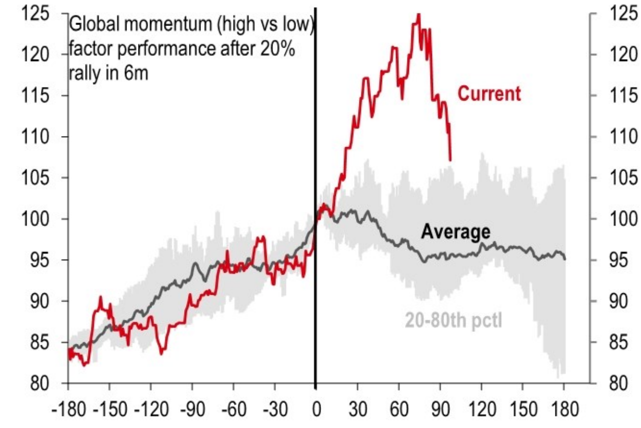
5 *Europe's debt cost squeeze: Developed EMEA Equity Signals*, Amit Shrivastava, 24 June 2026
6 *GEMs Equity Quarterly: Rotation without retreat*, Alastair Pinder, 15 July 2026

1. Global momentum factor has had an extraordinary run…



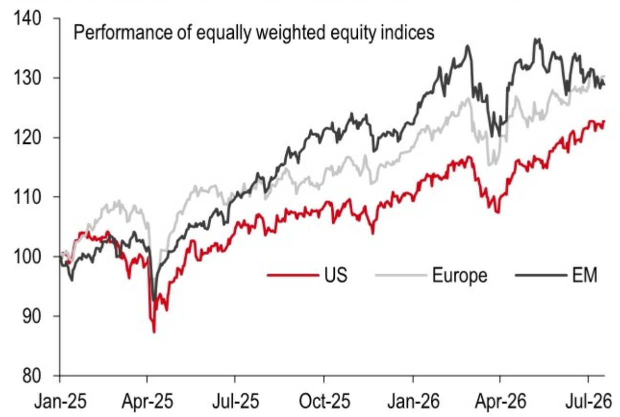
Source: FTSE Russell, FactSet, HSBC

2. … but momentum stocks appear to have overrun and could continue to struggle the next few months



Source: FTSE Russell, FactSet, HSBC

3. Equal-weighted performance has been admirable despite underperforming broader benchmarks



Source: FTSE Russell, FactSet, HSBC

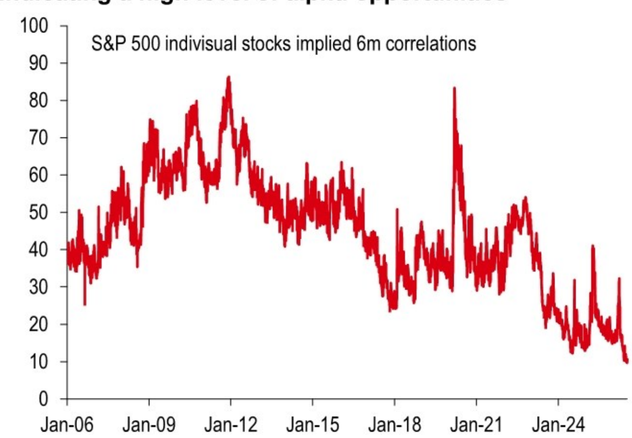
4. A rotation could support a move into mid-caps

Source: FTSE Russell, FactSet, HSBC

5. Concentration in benchmark equities is at record highs in indices for US and EM

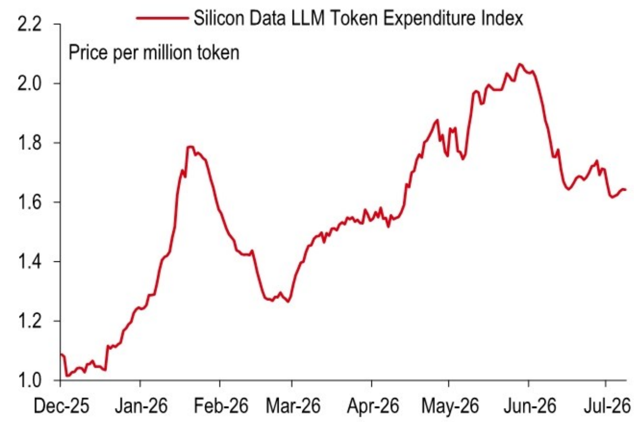
Source: FTSE Russell, FactSet, HSBC

6. S&P 500 stock correlations has fallen to record lows indicating a high level of alpha opportunities



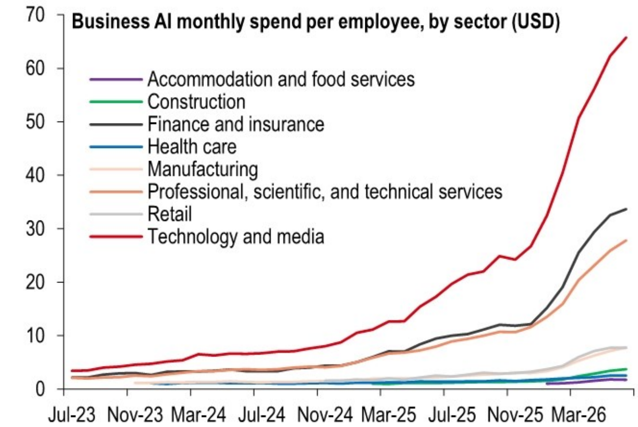
Source: Bloomberg, HSBC

7. LLM token expenditure has fallen…



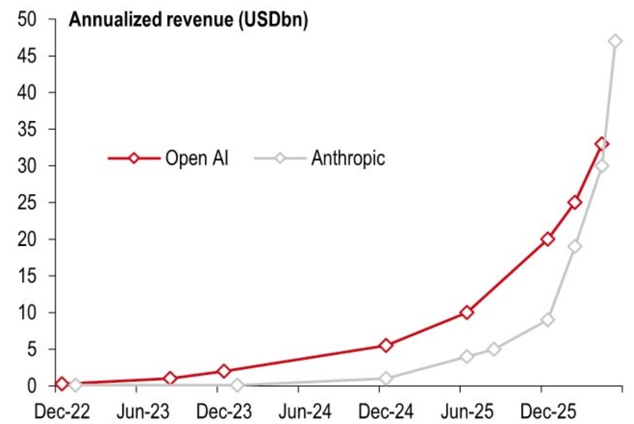
Source: Bloomberg, HSBC

8. … but AI spend per employee has risen sharply



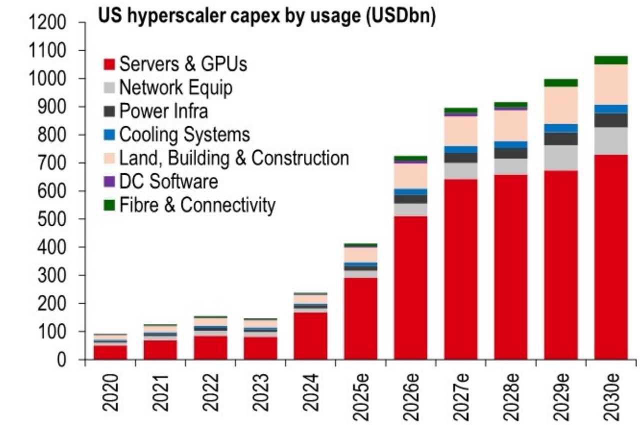
Source: RampAI, HSBC

9. Annualized revenue trends for Anthropic and Open AI are rising rapidly



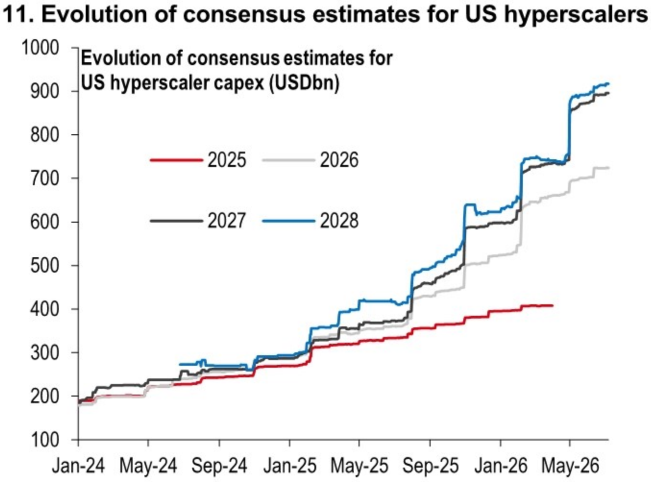
Source: EpochAI, HSBC

10. Consensus anticipates almost USD1trn of capex per year from 2027



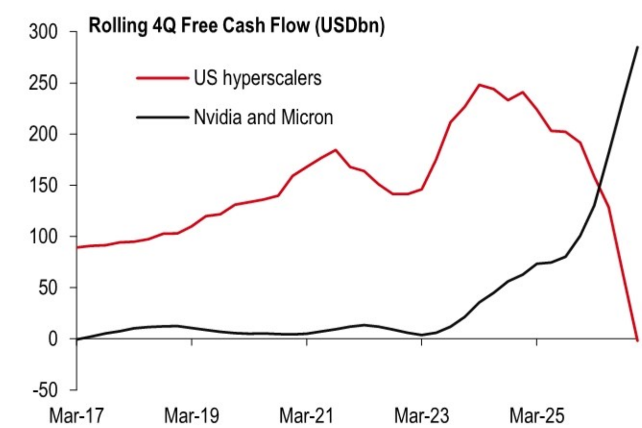
Source: FTSE Russell, FactSet, HSBC

11. Evolution of consensus estimates for US hyperscalers



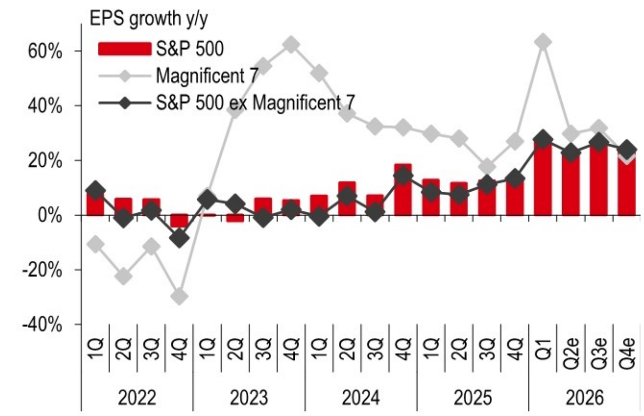
Source: FTSE Russell, FactSet, HSBC

12. A free cash flow transfer from hyperscalers to semis



Source: FTSE Russell, FactSet, HSBC

13. S&P 500 EPS growth



Source: FTSE Russell, FactSet, HSBC

14. EPS growth estimate trends by quarter

Source: FTSE Russell, FactSet, HSBC

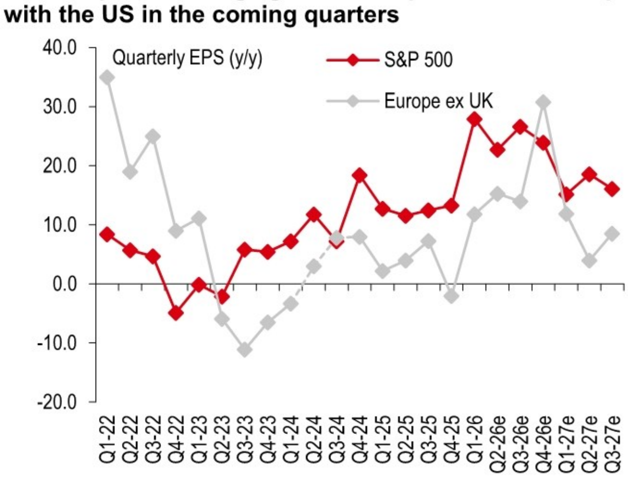
15. US corporates have been lifting their guidance

Source: Bloomberg, HSBC

16. Earnings revisions, particularly in the US, are near all-time highs

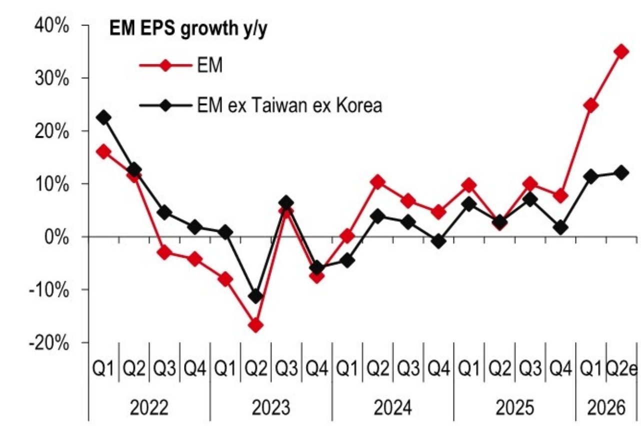
Source: FTSE Russell, FactSet, HSBC

17. European earnings growth is expected to catch up with the US in the coming quarters



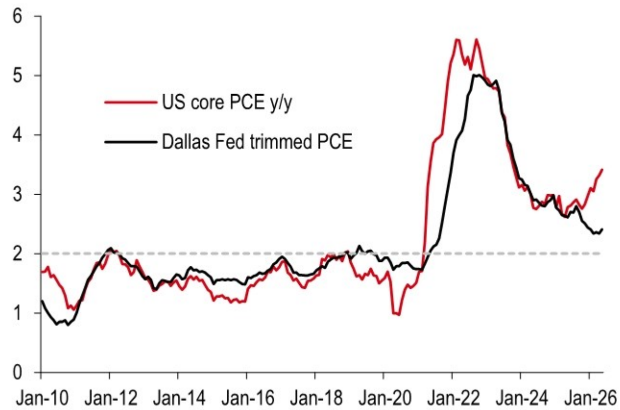
Source: FTSE Russell, FactSet, HSBC

18. Even stripping out Taiwan and Korea, earnings growth for the rest of EM is improving



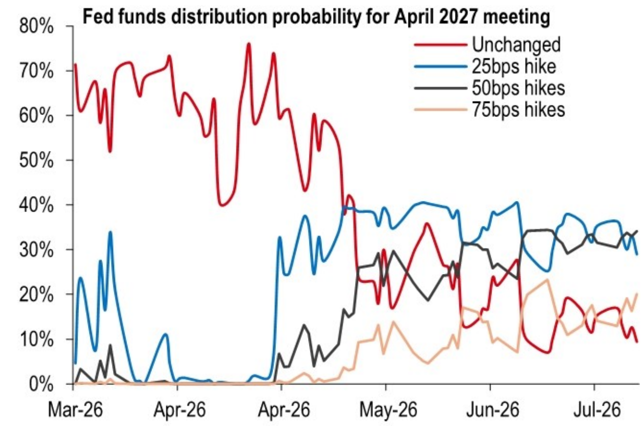
Source: FTSE Russell, FactSet, HSBC

19. Different inflation signals depending on what measure you focus on



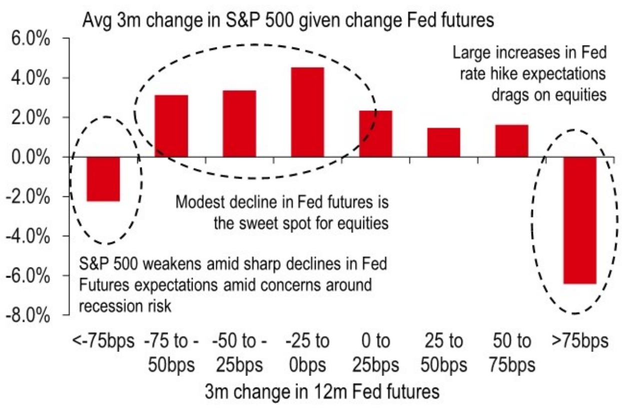
Source: Bloomberg, HSBC

20. Market pricing for the Fed has arguably turned too hawkish…



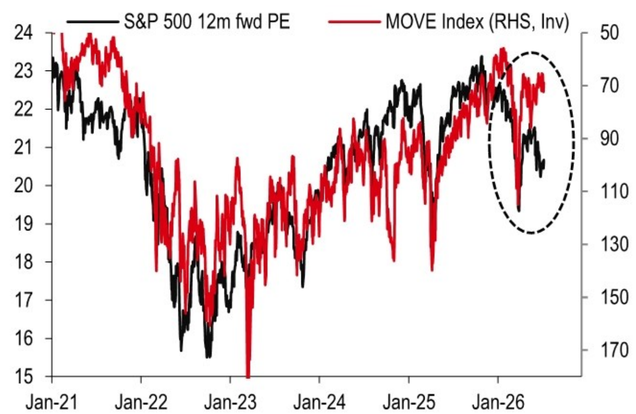
Source: CBOE, HSBC

21. … and a modest unwinding of hike expectations would be a boost for equities



Source: FTSE Russell, FactSet, HSBC

22. Lower bond volatility would indicate equity valuations can re-rate further

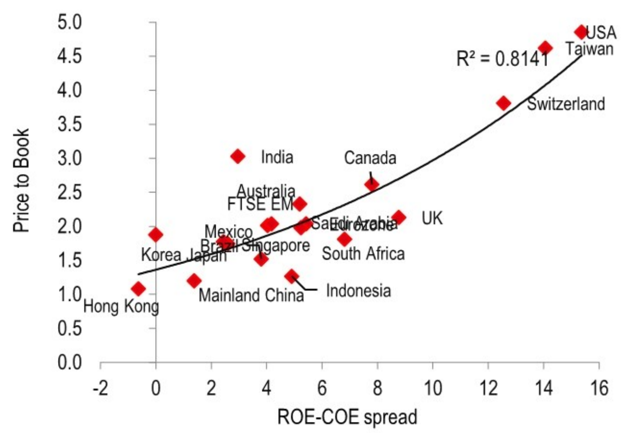


Source: FTSE Russell, FactSet, HSBC

23. Valuations for the Magnificent 7 look cheap vs history

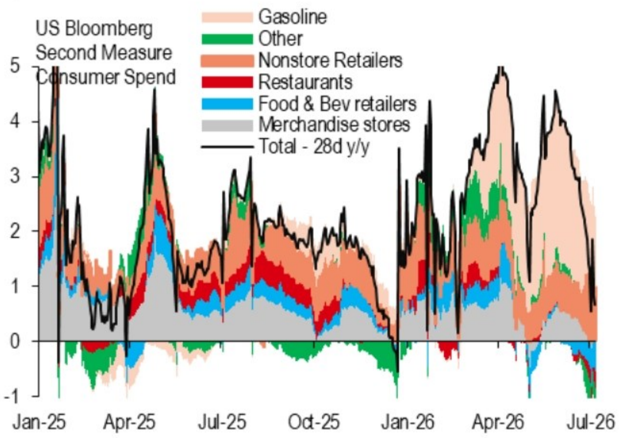
Source: FTSE Russell, FactSet, HSBC

24. ROE vs Price-to-Book framework



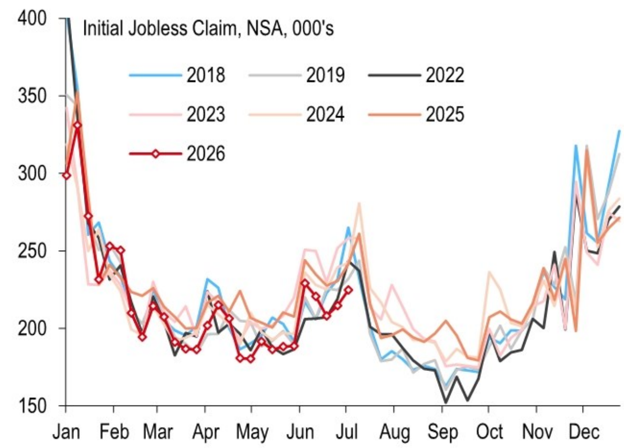
Source: FTSE Russell, FactSet, HSBC

25. Some softness in consumer spending trends, but we expect this to recover



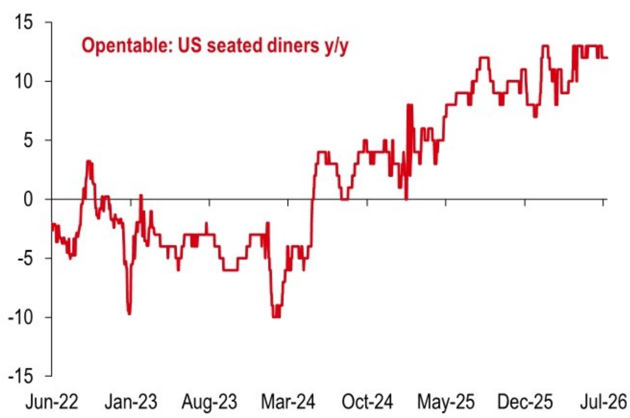
Source: Bloomberg, HSBC

26. Labor data remain remarkably strong



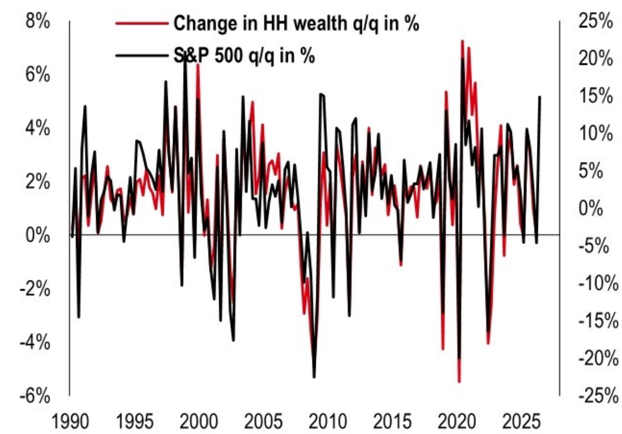
Source: Bloomberg, HSBC

27. The FIFA World Cup has likely provided a boost to tourism and leisure in the US



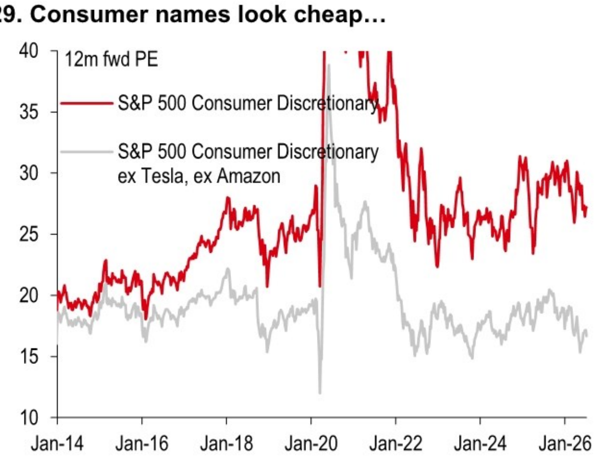
Source: OpenTable, HSBC

28. Higher US equity prices can provide a meaningful wealth effect



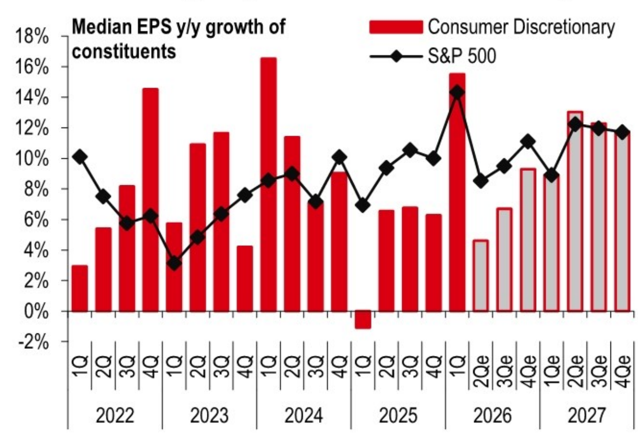
Source: Bloomberg, HSBC

29. Consumer names look cheap…



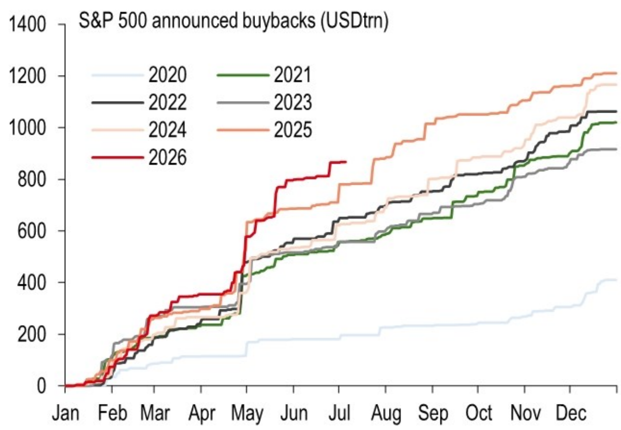
Source: FTSE Russell, FactSet, HSBC

30. … and earnings expectations are undemanding



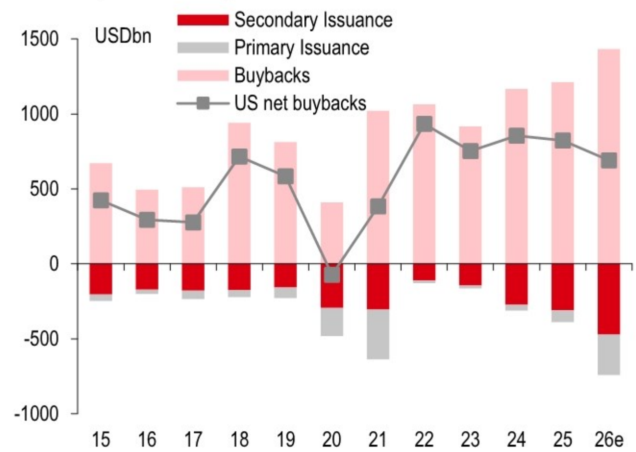
Source: FTSE Russell, FactSet, HSBC

31. Buyback announcements are running well above 2025 levels



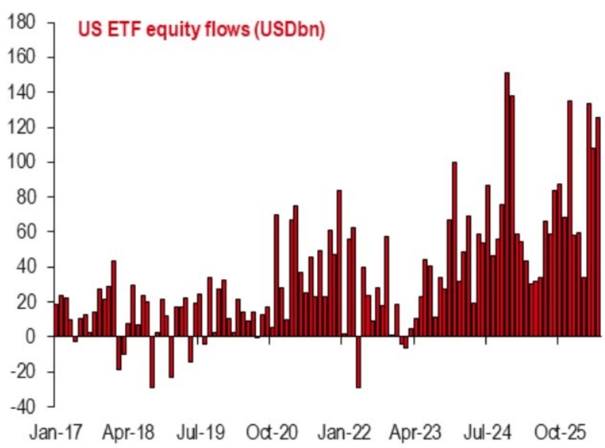
Source: Bloomberg, HSBC

32. Even with accelerated primary and secondary issuance, US net buybacks should remain elevated



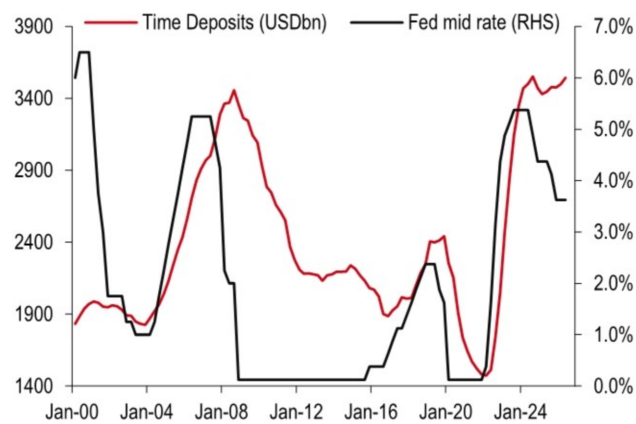
Source: Bloomberg, HSBC

33. Another incredible year for US ETF flows



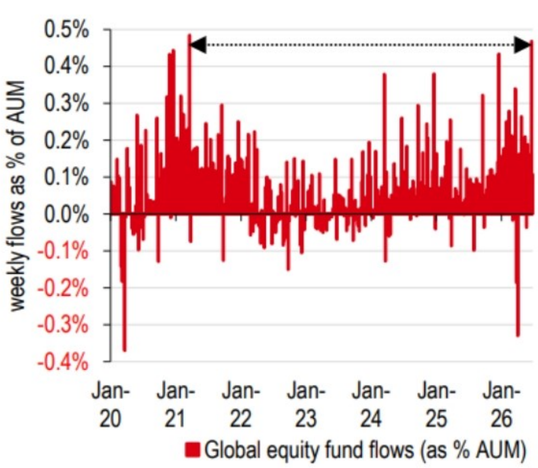
Source: Bloomberg, HSBC

34. There's almost USD3.5trn sitting in time deposits in the US



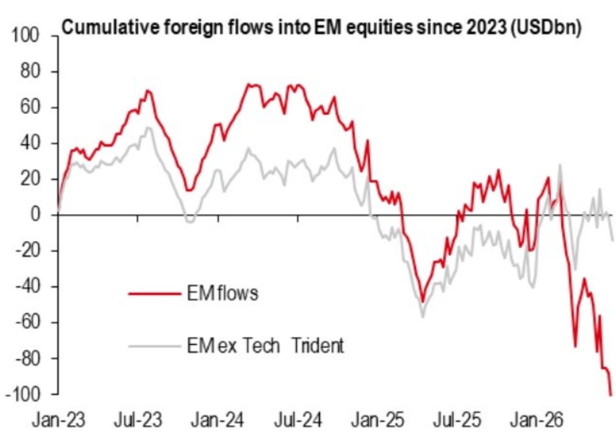
Source: Bloomberg, HSBC

35. Global funds are seeing huge inflows



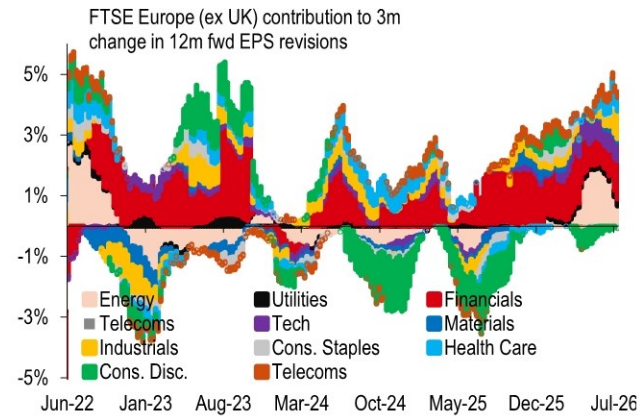
Source: Morningstar, HSBC

36. Foreign outflows from EM equities have reached record levels this year but predominantly from tech



Source: Bloomberg, HSBC

37. European earnings revisions have broadened…

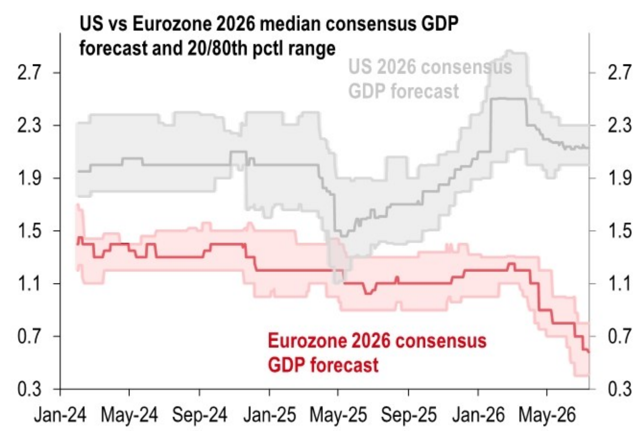


Source: FTSE Russell, FactSet, HSBC

38. … and a weaker EUR should help further

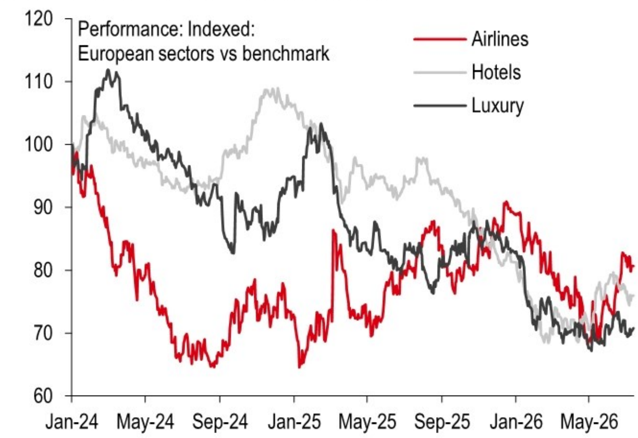
Source: FTSE Russell, FactSet, HSBC

39. Downgrades in Eurozone GDP but worst is likely behind us



Source: Bloomberg, HSBC

40. We see room for a broader rotation in European airlines, luxury, hotels and leisure

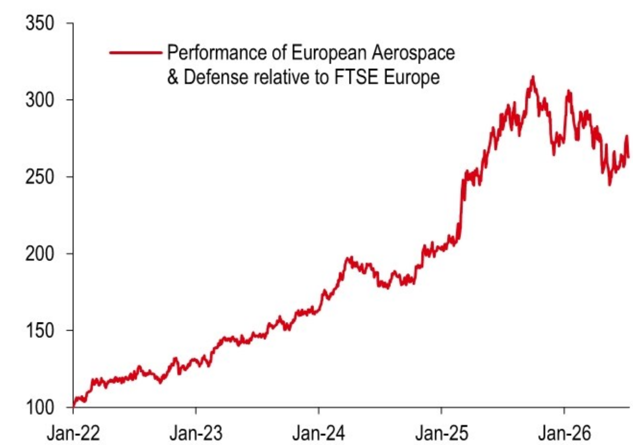


Source: FTSE Russell, FactSet, HSBC

41. Luxury 12m fwd PE

Source: FTSE Russell, FactSet, HSBC

42. Defense stocks look to be recovering again



Source: FTSE Russell, FactSet, HSBC

Disclosure appendix

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Equities: Stock ratings and basis for financial analysis

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